docs.apiary.fi

The Bee's Knees

Introduction to Apiary

What happens when bulla and an OHMie have a one night stand?

Apiary.Finance is a treasury-backed protocol designed to perpetually accumulate **$BGT** (Berachain Governance Token) through Berachain's **Proof of Liquidity** (PoL). This is a joint collaboration project by The Bullas ↗and Vase Finance↗.

Core Mechanics:

- If $APIARY price > treasury backing → yield is swapped into $APIARY and distributed to staked $APIARY
- If $APIARY price < treasury backing → 100% of yield is used to buy and burn $APIARY until $APIARY market cap is greater > the protocol treasury.

What is Apiary.Fi?

TLDR; numba go up tech.

Apiary.Fi is a protocol designed to perpetually accumulate **$BGT** (Berachain Governance Token) via participating in **Proof of Liquidity**. The protocol token, $APIARY, is minted when the token trades above the fair value of the protocol's treasury. This newly created $APIARY is sold to the open market via bonds and directs 100% of bond proceeds ($iBGT or $APIARY/$HONEY LP receipt tokens to the treasury.

Learn more about bonds here → Bonds & Staking

In order to become a **$BGT blackhole**, the protocol will progress through 3 phases:

Phase 1: Protocol Owned Liquidity Growth

Objective: Build foundational liquidity and establish price stability

Mechanics:

- **50%** of treasury yield → $APIARY/$HONEY liquidity
- **50%** of treasury yield → buy and burn $APIARY

Exit Criteria:

Both of the following must be met to transition from Phase 1 → Phase 2

1. $APIARY/$HONEY LP > **$20k**
2. Liquidity Depth > **$10k**

Phase 2: Treasury Expansion

Objective: Accumulate $iBGT and APIARY/HONEY LP with the goal to qualify for reward vault whitelisting ↗

Mechanics:

- Issue bonds aggressively for $iBGT and APIARY/HONEY LP acquisition
- Apply price management system (see Protocol Functionality)
- Prepare Reward Vault mechanics

Exit Criteria:

Both of the following must be met to transition from Phase 2 → Phase 3

1. Reward Vault whitelisted and operational
2. First **$BGT** emissions successfully received

Fallback Strategy: If whitelisting is not achieved within 1 month of transition to Phase 2, the protocol will continue Phase 1 mechanics and focus on liquidity growth + explore alternative yield strategies.

Phase 3: Proof of Liquidity Integration

Objective: Leverage Berachain's **PoL** for maximum capital efficiency

Mechanics:

- Use **$iBGT** to bribe reward vaults → Earn **$BGT** emissions
  - See below for Emission Strategy
- Claim **$BGT** as **$vBGT** through Vase Finance↗
- Launch Apiary **sub-validator** on Berachain

> (Learn more about **Sub-Validators** → Here↗.)

Price-Based Emission Strategy

$APIARY Price vs Treasury Value	
$APIARY MC > 30% FV of Treasury	Max $BGT Emissions directed to Reward Vault
$APIARY MC within 30% of Treasury	Emissions directed to highest paying vaults, yield distributed to staked $APIARY
$APIARY < FV of Treasury	100% yield to buybacks

Note: During phase 3 there will be a 10% management fee that goes to the Apiary.Fi team

Easy as A Bee C

Tokenomics

Understanding $APIARY

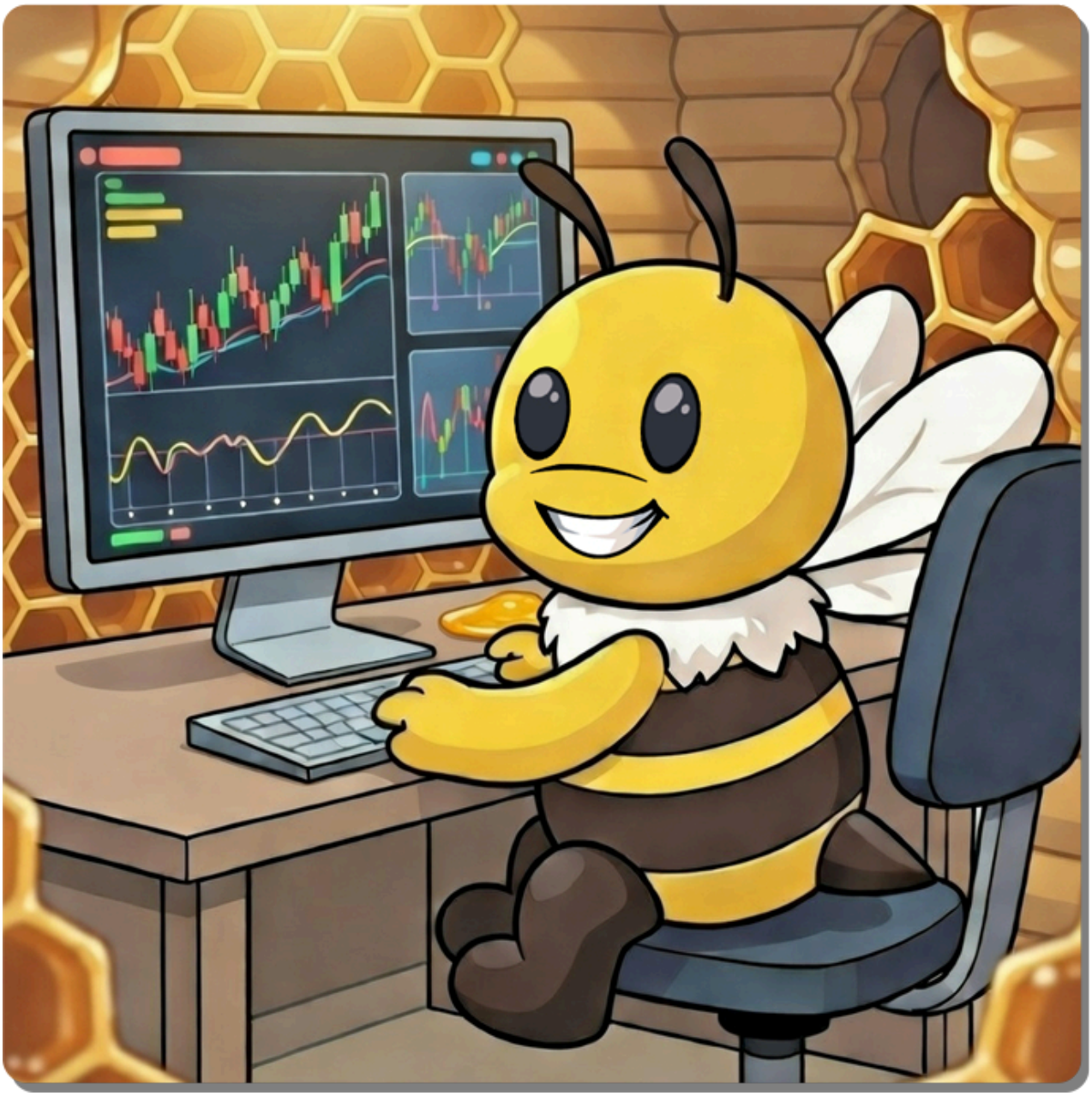
Allocation	%	Notes
Pre-Bonds	55%	$25k from ApDao, full Booga Bullas treasury, $4600 from BeraReserve treasury, remaining % sold to Booga Beras, Booga Bullas and Bullas pro-rata at 100k Market Cap with 5 day vesting
Team	15%	Acquired at $100k Market Cap milestone-based unlocks*
Bullas & Booga Beras	15%	Staked and at least 50% of yield compounded frequently, up to 50% used to buy and burn Bullas and Booga Bullas
Liquidity	15%	Seeded by the Apiary Team, will get slowly replaced with locked and protocol-owned liquidity after APIARY/HONEY RV gets whitelisted

Notes:

*Team tokens are subject to more strict terms than public pre-bonders, instead of a time-based vesting, they are bound to a milestone-based vesting. There are 10 milestones:

1. Accumulate 1% of total BGT LST Market cap in circulation
2. Accumulate 2% of total BGT LST Market cap in circulation

3. Accumulate 3% of total BGT LST Market cap in circulation
4. Accumulate 4% of total BGT LST Market cap in circulation
5. Accumulate 5% of total BGT LST Market cap in circulation
6. Accumulate 6% of total BGT LST Market cap in circulation
7. Accumulate 7% of total BGT LST Market cap in circulation
8. Accumulate 8% of total BGT LST Market cap in circulation
9. Accumulate 9% of total BGT LST Market cap in circulation
10. Accumulate 10% of total BGT LST Market cap in circulation



Bonds & Staking

Yawn Let's talk about Bonds....

Bonds

- Users can deposits $iBGT or $APIARY/$HONEY LP receipt tokens to the treasury in exchange for discounted $APIARY (**vested over 7 days**).
- Bonds allow the treasury to grow, fueled by the high yielding nature of $iBGT and slow issuance period. Users benefit from receiving the best possible price for $APIARY with a short vesting period of 7 days.

Bond Pricing

Debt Ratio (Outstanding Bonds/Treasury)	Discount Offered
0-3%	8% Discount
3-6%	5% Discount
6-10%	3% Discount
>10%	N/A (Bonds are paused)

- The Bond Control Variable (BCV) adjusted weekly based on demand:
  - **High Demand** (>80% of weekly capacity filled) → **discount reduced by 1%**
  - **Low Demand** (<30% of weekly capacity filled) → **discount increased by 1%**

Bond Limits:

- **Debt Ceiling:** Bonds outstanding cannot exceed 10% of treasury value
- **Maximum Single Bond:** 1% of Protocol Treasury Value
- **Maximum Daily Issuance:** 3% of total $APIARY supply

- **Treasury Protection:** Bond sales stop when the discount would allow buying Apiary tokens below the treasury value of Apiary ensuring the treasury value in BGT can only go up

Staking

- As the protocol's treasury collects yield, it is able to mint new $APIARY tokens backed by the increased treasury value. These freshly minted tokens are used to issue more bonds. (See Phase 2 & 3 on What is Apiary.Fi? for more information regarding distributions to staked $APIARY)
- TLDR: Stake ur $APIARY tokens for more tokens!

Protocol Functionality

Price Management System

The protocol adjusts its behavior based on how $APIARY trades in relation to treasury backing:

Market Cap vs. Treasury	Protocol Action
Market cap > treasury by +30%	**Growth:** Compound Yield to grow treasury
Market cap within 30% of treasury	Distribute yield to staked $APIARY
Market cap < treasury	**Buyback:** 100% buyback and burn

Buffer Zones:

To prevent the protocol from constantly flipping between actions:

- Switch to "**growth**" mode when market cap rises above **32%** of the fair value of protocol treasury
  - The protocol will stay in growth mode until market cap drops below **28%** of the fair value of the protocol's treasury
- Switch to "**buyback**" mode when market cap falls **3% below** the fair value of protocol treasury
  - The protocol will stay in buyback mode until market cap rises **5% above** the fair value of the protocol's treasury

Additional Information

You like jazz?

Initial Liquidity

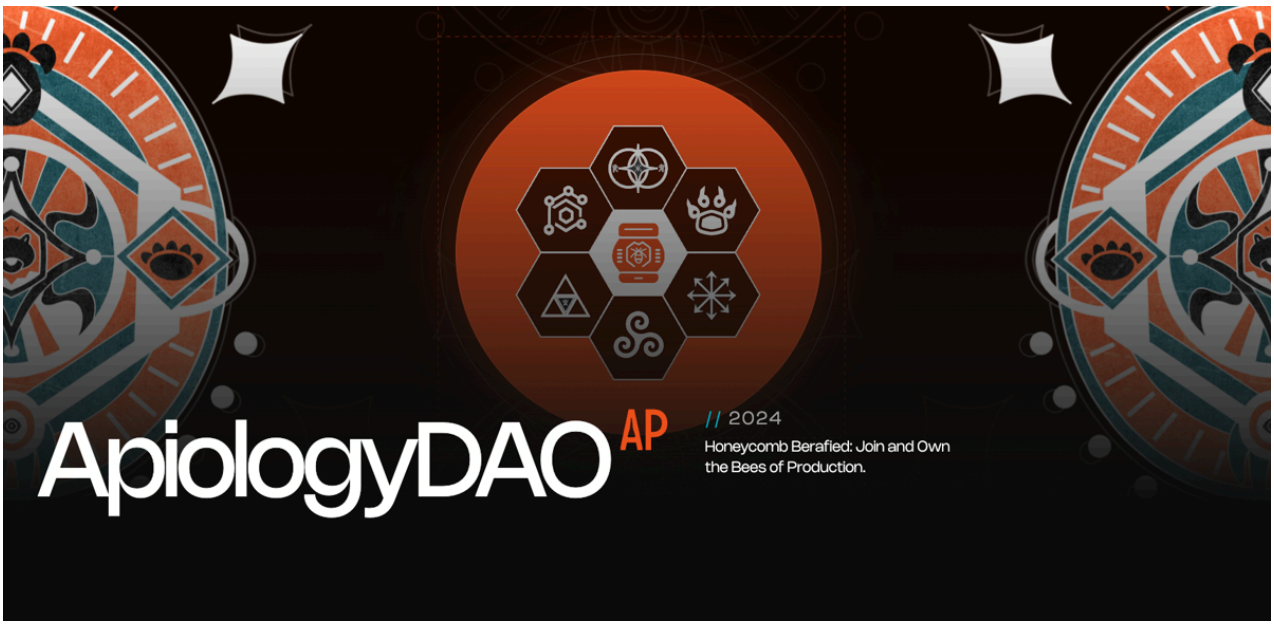
- At launch, the protocol will seed liquidity using a portion of Apiary Finance's RFA allocation of 14,777.88 $BERA
- Any remaining $BERA will be used to incentivize $APIARY/$HONEY LP

Apiology Dao

During the Pre-Bond sale, Apiology DAO has the exclusive option to purchase up to 25% of the initial supply of bonds under the following terms:

- **Matching Commitment:** Must purchase 1 BERA worth of $APIARY on open market for every 1 BERA worth purchased in pre-sale
- **Deadline:** 69 days from pre-bond sale
- **Enforcement:** tokens held in smart contract escrow; released only upon verified matching purchase
- **Slashing:** if matching purchase not completed, 50% of allocation is burned

https://apiologydao.0xhoneyjar.xyz/governance/vote/2b02cc45-4cd1-4069-9891-b58425d75bdc ↗



Booga Bullas

During the Pre-Bond sale, the Booga Bullas ↗ treasury can buy up to 25% of the initial supply of bonds under these terms:

- **Lockup:** Tokens held in non-withdrawable staking contract
- **Yield Usage:** Staked and at least 50% of yield compounded frequently, up to 50% used to buy and burn Bullas and Booga Bullas
- **Enforcement:** Smart contract with no withdrawal function

Surplus tokens:

Sold to holders of Bullas, Booga Beras and Booga Bullas during the Pre-Bond event.

FAQ

Figure it out yourself....

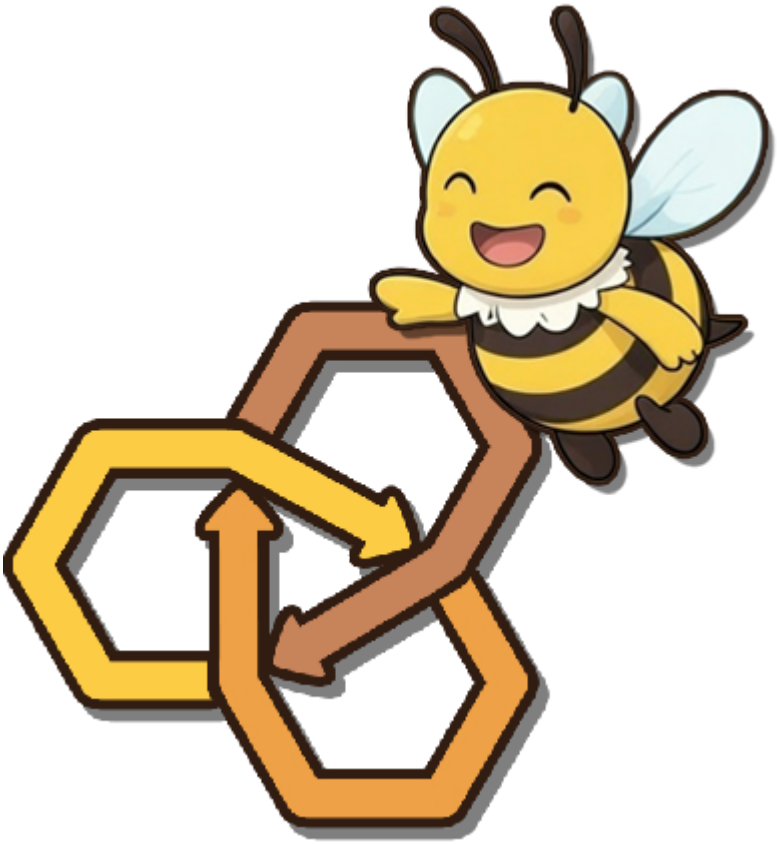
Why does this work?

- The treasury earns yield and creates buy pressure for $APIARY.
- This ensures that $APIARY frequently trades at a premium to backing, allowing the protocol to issue bonds and further grow the treasury.
- In Phase 3 the protocol uses the iBGT earned via bonds to bribe the treasury reward vault.
- By leveraging PoL, the protocol can earn a return on bribes:
    - 1$ worth of newly created supply turns into more than 1$ worth of treasury growth

What if the flywheel breaks?

The protocol has automatic buybacks when trading below backing, which creates a natural floor. When $APIARY trades below treasury value, 100% of yield goes to buying and burning tokens, reducing supply until price recovers.

How is this different from OHM?

Key improvements over OHM's original design:

1. Dynamic bond pricing with debt ceilings prevents runaway dilution
2. Buffer zones prevent oscillation between protocol modes
3. Explicit fallback strategies for each phase
4. Berachain-native design leverages PoL for sustainable yield generation